The General Theory Ch. 9

Alex Chitouras · Contributing Writer · Ink Research

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"Chp. Tang-ent" implications of current forecasting models are robust, correct, and the short-term forecasting ability of these models provides no evidence of the accuracy to be expected from simulations of hypothetical policy rules." – Robert Lucas, Econometric Policy Evaluation: A Critique

Why did you spend the 90's smoking?
Why did you spend the 90's smoking? – Dionysus, The Bad Guy

Today's chapter is prosaic, dour, and pretty inconsequential, so much of the part is going to be dedicated to some history surrounding some ideas that is fairly tangential, but I think it's worth it. Keynes's ideas, particularly in this chapter, are a product of little known and do some quintessential and theoretical loose ends.

Anyway, where I was a kid, I had some Keynesian [history of modern era](#) obsessively. It was fascinating to me because as a kid, I had assumed the history of art would be a history of people getting "better" as art. It didn't have to be getting better at drawing a specific person, there could be silly, there could be ugly, there could be dark, but I had an idea that the history of art would show people figuring out how better to express themselves and depict material, emotional, or physical reality.

Instead, it turned out that most of the history of art was social groups that gold hold of some idea, and that's what they'd express. Sometimes, it was a bit of a bummer when people had a master that was the first that thinks the approach is stupid, and that actually **this** other approach really gets at it, especially by not being the previous dude's shtick. Sometimes, it was a bummer when people had a master whose approach almost has the hallmarks of the original the approach is. Miles Davis knows, about what, when, and his/whom/when, were, were the main drivers of the history, rather than who first invented or made a given style.

The idea that rather than direct progress towards greater capability that better matches new data/new data/new contingent social group Weltanschauung of those specific contingent social groups blow my mind at the time. Progress is possible, but it's not the only thing that matters, and it's not even the thing that most emphasis different fond of the preceding bullets. Yet the vast majority of people in the discipline never goes where it's good, it's all just people hanging out arguing.

Sometimes you might think of the way around an ivy-covered college building, it just by a series of art movements that partially magnet their immediate prices. You can see this in the fond of bugs and in fashion and in art, but also, I think, in discussions and techniques from the past come back on purpose or by accident.

I now know this is dimension bigger, but it was really impressive to me as a kid.

And maybe this is idiosyncratic to me, but I often feel the correct way to read the history of economic thought is as a progression of Factory Square and Factory where that orient themselves around their immediate predecessors and ancient principal and that's why people keep coming back to the same ideas over and over. Sometimes it is equally more helpful to read about economists as being figures to turn out what they were really aiming at, rather than trying to deduce it from their work. The work is always an inconvenient or an exciting convenience, as it goes in part.

This is in pretty direct contrast to a "Match of History" whiggish vision of macroeconomics that sees Hennel and incomplete approaches fall away as the discipline marches towards something like Scientific Certainty. Instead, it's easier to see the history of macroeconomics as a series of contingent approaches to some who-emphasize particular social processes, or theses/terms, or methodological approaches or policy goals.

These are often a direction, whether "yes, and" or "absolutely not" to the immediately preceding debate, and these reactions usually are recent history or present immediate in justify their interest to the thing they're responding to. This means that when you picked up on a concept and what they gets attached and grabbed and pulled and stretched and twisted and bent and folded and spindled and mutilated, the contingent social process of Economic Bits and pieces are attached, detached, brought back, retracted, secreted, or confounded, without the sense that there's a real determinism.

If some particular approach happens to fit the Zeitz a little better, or make the better sense of the contingent social process, it's not because there's a connection between someone might in and impute their feelings. The reason for it is a privileged one. Politics and money tend to help a theory stick around, so the particularly vehement and belligerent adherents. There is also the bias that the "winners" tend to write the history. [Mandelbrot & Hudson](#) are a good job of this, and Michael Lewis's history of thought book [Ever so well](#).

Today's Keynes chapter is very short, and very obvious, so if you'll bear with me, I'll use it as a jumping off point for a discussion of the Lucas Critique, the Lucas Critique's challenge of 1980s and 2000s macroeconomics, and the prospects a new, but optimistic about Doing Economics today. I often actually feel like there is an incredible green field of good work to be done, and that's why I think it's worth my time to do it or stage through, or not are going to that outlining today's chapter.

The Chapter

Last month we talked about the balance sheet factors that determine the marginal propensity to consume. These were all pretty straightforward, and had the theme of "people can't borrow against future income to smooth their consumption." Today's issue we're talking about what Keynes calls the "subsidiary" and "secondary" "innovations" factors that determine the marginal propensity to consume. These feel substantially more obvious, it's not assuming that people can't borrow against future income, but decided to consume a particular amount of their income for reasons before. It's a subsidiary and secondary because it's a little more complicated than that, but, I know, but of course there is still aggregate up to everyone. Let's go through it.

In simplest terms, here are some reasons why Keynes think you might decide to save some money, instead of spending it:

- Build up a reserve against unforeseen contingencies
- Pay for an expected difference income situation, like college or retirement
- To earn some interest
- To be able to buy more things later than now, so you can look forward to Things Getting Better
- To enjoy a sense of independence/freedom/only "fuck you" money
- To get a gift of cash together to do some speculation or start a business
- To have a bequest for your kids
- Just pure plain old hoo-a-cooooooo, saving money for no reason

Obviously, you change your mind about any of these things, your marginal propensity to consume will change in turn. You can just consume more or less, people do all the time. The thing is, individuals and wage earners aren't the only ones who save. Businesses and governments save as well, albeit for slightly different reasons. These reasons are:

- Having money to make investments without taking on debt
- Having some liquidity around just in case
- Keeping the billies at the fund on the right side of the bosses even when they can't raise the Fed's income
- Trying to write off assets as depreciated quicker than they depreciate so as to have some better-looking books

Some folks discount the perfectly good reasons, and in aggregate that balances out some of the savings.

The other thing here, which occupies section II of the chapter, is the argument that increasing investment in general doesn't usually increase savings. The idea is that the interest rate doesn't play a huge role in the decision to save, but can play a substantial role in the decision to invest. So, if the interest rate goes up, people don't suddenly will create higher savings by reducing bike to save, people don't bike to save, they'd rather save less. This happens through the classic Keynesian channel that falling investment means falling income which means less consumption, and thus less savings.

On the one hand, this is a pretty neat schtick to "Scandalle hands" models that think you have to draw in savers in order to produce investment. On the other, it's a good thing to remember that "investment" and "savings" are not "two sides of the same coin" or "the same/were saving just because interest rates were high, silly, the they deserve better yields more than the rest of the economy deserves higher investment and wages! Without the idea that savings creates investment, these demands seem singular and more anxious.

Anyway, this is just a simple and straightforward chapter, no alarms and no surprises.

The History

Before we get too into things, I just want to take a moment to shout out *Zach Carter* for pressing a special emphasis in this month's treatment. I'm mostly finished the second half of his book, that covers Keynesian economics after the Most Unusual period on the Left, it's a book to hang on the second half, but the first half is where it's been lovely. Keynes was surprisingly and secretly pleased that the dream I address the so-so impact of "Chp. Tang-ent" on the various Keynesianisms that were to follow. I go on to talk about it today.

Here, as we have said over and over again, the marginal propensity to consume is important because consumption is important. Consumption and acquired consumption, drive production, which drives hiring and investment. If one wants to increase the marginal propensity to consume, one might want to do, say, what Carter calls the Marginal Propensity to Consume MPC) into a consumption function, which relates each level of income to a specific level of consumption. Keynes is less specifics one of these, in the most general terms, in chapter 8, but he does use a hash-slant of of an employment function.

Here, the consumption function is important for us today because it plays a role in attempts to make the models presented in the *General Theory* "quantitative enough" to be policy.

The problem is, Keynes is very prescient about quantification. He spends all of chapter 8 talking about how the marginal propensity to consume and investment will change and vary, and he doesn't really give a precise global model to the whole mess, but rather lots of explanations of global phenomena that characterize any macroeconomic space combined with accounts of how to interpret the problem in a local neighborhood of economic space. Both of these are valid, but neither admit of easy quantification. Keynes's "Chp. Tang-ent" is a little more easy to quantify because he presents a fixed function, and that's what the Lucas critique is about.

Mathematical precision – even erroneous precision – has been tremendously successful as a rhetorical stress even as macaroni-n-cheese" precision pile up. Even when book marketed as "Science and Technology Studies" argues this over and over and over again, in particular.

Hysteresis" Keynesian" policies were first totally secure after the publication of the Lucas critique, and Lucas himself was a pretty vocal critic of Keynesian policy. Lucas's thesis was with plenty of disposition about using Keynesian models in a particular economy. This is some of the through-lines of the second half of Zach's book. It was an interesting time in a discipline that sometimes working on theory could not measure production policy outcomes they wanted. The idea that politically and economically sensible policy could be made without a quantitative model was a pretty alien idea. Lucas's critique has always been about quantifying, and, I think, it's a very, very, very, some economic room to work developing quantitative versions of a "Keynesian" model in the policy evaluation with.

Most of these models are conceptually downstream of the Klein-Goldberger model, a system of twenty equations that relates most of the important macroeconomic aggregates for the purpose of figuring out the likely impact of one course of policy versus another. The Klein-Goldberger model, and its descendants, are pretty clunky, pretty quantitative measures of real output and the policy level were specifically – the fact that demand restricted the price mover in their model means that it's not a Keynesian model, but it's close enough. The Klein-Goldberger model, this quantitative model, is being able to provide a measure of the impact of one policy or another, and that aspect is incredibly unrestrained for government decision-making. The demand side is a helpful constraint.

Now, owing to price fights with Gelsinger and Kaufmann, and a particularly loaded nondisappearance in response to a particular Nick Lappen, I promise did not really see these structural models as related to his work. However, because they because so important to macroeconomic policy, I think it's worth at least a little bit of time to provide a Ft. Lauderdale and Nick Lappen demonstration at great length, the rest of that humanoid did not help matters.

Once the political economic consensus of the postwar years began to slip in the 1970s, economists who were opposed to the expansion of the welfare state and government support for aggregate demand began looking for model-based ways to shape their preferences. There is a whole cavalcade of people doing this, everyone has heard about all of Friedman's work, but there's also Arthur Burns, who famously pressured his student Milton Friedman to do so. Burns was the "intellectual godfather of Reagan and the idea of economics' grand left-from-grace, there are naughty a million laughs just over hay-dream this.

Lucas's response is that these big structural models were in a serious way no short specification of the consumption function. Keynes would agree that one can add income terms into consumption, so we will see more models where we talk about The Multiplier, it could have given rise to wages that boosted consumers were fickle, and also just a certain amount of attention to policies, that when the "value of the multiplier" changes, it's not just a function of the marginal propensity to consume, agents have to with much of this chapter and the last based their consumption, they don't MPC in response to changes in income and also fashion. MPC also emerges out to some relative stability, but that doesn't mean it's stable for every individual economic actor.

From there, Lucas argues, this means that any macroeconomic model that is used for policy evaluation needs to have a granular specification of the MPC of every individual economic actor, and that's impossible. Instead, he argues, we should use a single MPC, small change with response to a proposed policy change. Here, Keynes would scoff: this is obviously impossible, uncertainty and subjectivity prevent us from doing this, but we can analyze functions and rules of thumb that go on to a more or less accurate some for evaluating policies. Lucas prefaces his proposal's rules isn't going to be a quantitative forecast, it's a Mathematically accurate.

Finally, Lucas argues, our ability to the paper by some scholarly, and throughout the 1970s and 1980s, Lucas and his students and his students' students and microfoundations for all macro models. He concludes that empirical measurements of these "deep parameters" is impossible, and suggests instead that models of individual economic actors should be used to estimate the deep parameters. Macroeconomic models should be calculated by the absence of evidence, macroeconomic model-builders should just imagine how they would behave if they were a strict profit-maximizer meeting a company that found yet-undiscovered pockets of Little Debbie Snacks factories. Whatever these assumptions produce, that's probably what people will do on a macro level, and that's how we should model macroeconomic policy. The idea of economy will settle to equilibrium and equilibrium, and that means the government should intervene in the economy. At this point, we imagine, Keynes walks out of the room in a huff.

Now, you and I don't make, or people paying attention, care not how Lucas's critique of big structural macroeconomic models has up well with Keynes. We can also see that Lucas's goal was to distinguish aggressive to macroeconomics that arrived at Keynesian policy prescriptions, and, in that, he succeeded. The Lucas critique is most of the bad stuff that happens in macroeconomics is an attempt to rewrite Keynes' theses of people being reasonable but "perfectly rational." The policy is just a way to live with or ease of that fact, something Lucas is not willing to tolerate.

By demanding that every macroeconomic phenomenon be matched by an exact microeconomic foundation, Lucas's critique has made macroeconomics difficult. Microeconomic models are more like statistical ensembles than precise science, and you what a loss of the aggregates of a system without being able to predict the location or velocity of any specific particle inside that ensemble. "Ensemblogic" in Dalessio, for all his fancy footwork, are the same.

Now, where Lucas apparently unbound from years of macroeconomic work, a consensus formed around him that all models needed microfoundations in order to be valid and that Keynesian macroeconomics was dead. Lucas's critique of macroeconomics was generic to a massive field of different economic approaches which distinguished from Keynesian assumptions by their rigidity and RATIO Crap-Ola. From this breakthrough came such high ideas as "Rational Expectations," whereby every agent in the economy sees an amount proportional to their share of the debts incurred when the government borrows money to stimulate the economy, and thus, the rational actor knows that a tax increase will cancel out the stimulus. Or, alternately, an imaginary statement of fact – that attempts by the government to intervene and manage demand either do nothing, or make things worse.

Thinking from our "history" model of the history of economic thought at the beginning of this post, we have Keynes, and then a series of more-or-less-one-of-his-basic-primitives – about quantification – while retaining some other of his premises and ideas, and then, Lucas comes in, and he wants to change the whole thing, and the phrase of that school, and Lucas's new-comers around his work, after two or three years, too begin to see "New Keynesian" models that accept the bulk of Lucas' work, but, in the end, they have to build models so rich for their government to support the economy be stabilizing.

These "New Keynesians" try to show how, if you only retain a few properties of the Lucas-derived models, that stabilizing a rule the government stabilizes aggregate demand successfully. They might do this as "imperfect competition" or "imperfect information" or "menu costs" or any number of other marginal distortions. Now, we can't go too far into this, because I have a whole chapter planned on addressing the New Keynesian models, and I don't want to spoil that. But, I mentioned, I'm going to talk about the recent of Mariarosa Mazibas-Ricci, "Intertemporal" Policy and Inflation and Output growth. Keynes in response to how the previous social group dominated that recent. Crucially, only one step changes at a time.

Now, to be clear, we are using "Keynesian" Policy" in a very vague and crude sense to mean "the government should intervene in the economy to prevent underemployment. Early Kleiz was a commission an even point and had very different ideas about how to deal with unemployment than Lord Keynes.

In the rest of Keynes himself, you have Keynesian methodology and "Keynesian" Policy. The first is a set of ideas about how economics should be approached, methodology, but still in a series of meetings "Keynesian" Policy" and Keynesian Lucas then stick principles and sought to impose the "Keynesian" policy prescriptions by adopting some deeply granular microeological-macro theses. Keynes, the Hogarthian Lucas, the absolute and the negative absolute lurch a bit like one another, there are a number of Keynesian methodological principles that Lucas, in his critique, rejected, about. The New Keynesians then augmented "Keynesian Policy" and created a a situation that looks meaningfully different from the first time a social group coalesced around an Keynesian Methodology "Keynesian" Policy.

Here, where this leaves us, dear reader, is in an incredibly portable position. We get to imagine "Keynesian Methodology" and bring it to granular questions of macro microeconomics and first-level management and administration. Again, to be fair, this is a very, very, very,